Entry Without Future Retention Restrictions

Original stable entry / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.062***	-0.007	-0.066***	-0.070***
	(0.016)	(0.008)	(0.019)	(0.017)
p	0.0001	0.3672	0.0004	0.0000
Observations	366,189	366,189	366,189	366,189
Treated firms	197	197	197	197
Control firms	4,344	4,344	4,344	4,344

Original stable entry / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.019	-0.074***	-0.012
	(0.012)	(0.019)	(0.010)
p	0.1243	0.0001	0.2637
Observations	366,189	366,189	366,189
Treated firms	197	197	197
Control firms	4,344	4,344	4,344

No future retention: all cohorts / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.053***	-0.005	-0.069***	-0.063***
	(0.013)	(0.007)	(0.016)	(0.015)
p	0.0001	0.5265	0.0000	0.0000
Observations	414,556	414,556	414,556	414,556
Treated firms	271	271	271	271
Control firms	4,993	4,993	4,993	4,993

No future retention: all cohorts / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.019*	-0.076***	-0.015
	(0.011)	(0.017)	(0.010)
p	0.0866	0.0000	0.1304
Observations	414,556	414,556	414,556
Treated firms	271	271	271
Control firms	4,993	4,993	4,993

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.